

2Q26 financials improve; more patience needed for 2H26F

Quick Note

Recovery evident in 2Q26 as expected; while 3Q26E guidance looks suboptimal, more patience needed for its new models' capacity/shipment ramping up into 4Q26

XPENG reported 2Q26 results on 24 August and hosted an earnings call before the US market opened. The company delivered revenue of CNY19.7bn in 2Q26 (+8% y-y/ +51% q-q) coming in at the entry-level of its guidance range, as its quarterly shipments delivery was at 103.3k units (flatish y-y/ +65% q-q) which also just met its guidance on the low-end. The average ASP in 2Q26 was around 165k, -6% q-q, as Mona contributed more during the quarter. XPENG recorded a GPM of 20.7% in 2Q26 (+3.4pp y-y/ +0.1pp q-q). Vehicle GPM was 12.1% (-2.3pp y-y/ flatish q-q), while its GPM for service and others was 75.1% (+21.5pp y-y/ +8.6pp q-q). The company delivered an OPM of -6.7% (-0.1pp y-y while having improved 9.4pp q-q), showing a recovering trend from 1Q26. XPENG reported a net loss of CNY1.3bn in 2Q26, increasing 180% y-y, considering the challenging overall market situation, while having improved 25% q-q.

The company provided shipments guidance for 3Q26E, in the range of 115-121k units (-1% to +4% y-y). As the company delivered sales of 38.0k units in July, the guidance indicates 38.5-41.5k unit monthly sales in Aug/Sep 26. Considering the solid orders for the Mona L03 since its launch, we think the guidance appears slightly weak due mainly to capacity constraints according to management. Meanwhile, its revenue guidance is in the range of CNY21.7bn to CNY23.4bn for 3Q26E (+6% to +15% y-y). Based on the guidance, we believe 3Q26F ASP is likely to be around 165k, maintaining a relatively stable situation considering the potential product mix.

XPENG also announced that its robotics business raised over USD900mn (of which USD600mn is from external investors, USD200mn from XPENG and USD100mn from company executives) on the same day along with the 2Q26 results, thus helping the company to value its robotics business at USD6.3bn. With a full stack self-developed business, including AI Turing chips, and key components such as dexterous hand and physical A world model, the company targets to further accelerate its robotics business.

With upcoming new models slated to be released within 2026 (G9L in Sep-26 and Mona L05 in 4Q26), together with potential mass production of its humanoid robotics by end-26, we expect XPENG to further improve its auto business while also further accelerating its humanoid robotics business. In the near-term the entire auto sector will continue to be negatively impacted by muted domestic demand, therefore some more patience will be needed. And, for XPENG, a more meaningful recovery is likely in 4Q26, as long as the company resolves the capacity bottleneck. And, we believe the company's active plans in exploring its existing and innovative new business may pave the way for a sustainable long term growth path ahead. Therefore, we maintain our Buy rating and DCF-based TP of USD23 (assuming a WACC of 9.9%, market risk premium of 10.9% and terminal growth rate of 1.5%, with cash flows discounted back to 2026). The stock is currently trading at 0.8x 2026F P/S.

Key takeaways from the earnings call

- On the relatively weak 3Q26E guidance, management mentioned that it is still facing some bottlenecks regarding new model capacity, especially for the Mona L03. And, it targets to resolve the issue in Sep-26, thus expecting strong shipments growth in 4Q. XPENG expects to achieve 15k units/month shipments for the Mona L03 in the local

Rating Remains	Buy
Target price Remains	USD 23.00
Closing price 21 August 2026	USD 12.19

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China market in 4Q26, while overseas markets may contribute several thousand units per month as well.

- After the launch of the GX and Mona L03, XPENG targets to officially launch the G9L in Sep-26 and the Mona L05 in 4Q26. With these four new SUV models, the company aims to further optimize its product mix, which may help it to reach 60k units/month shipments within a single month of 4Q26.
- Regarding the overseas business, management mentioned that it reached 20k unit shipments in 2Q26, +81% y-y, and overseas sales contributed 25%+ of its total revenue during the quarter. With the Mona L03 set to commence overseas deliveries in 4Q26, XPENG targets to achieve 40k units overseas sales in 4Q. Furthermore, it plans to launch more EREV models in the global market from next year.
- Talking about its smart driving capability, XPENG is about to launch the VLA2.0 latest version in end-Aug 26, and it also targets to launch such functions in the EU market in 2027E, if possible. Regarding the status of its robotaxi business, the company targets to deliver driverless robotaxi service in 2027.
- For its GPM outlook, the company mentioned that GPM might be at high-teens level in 3Q/4Q26E, considering higher contribution from the auto business along with lower contribution from its cooperation with Volkswagen (CNY500mn-1bn in each of 3Q/4Q26, versus CNY1bn+ in 2Q26). Overall, the company expects financials to improve more meaningfully in 4Q26, together with shipments growth.
- On its humanoid robotics business, the company continues to target mass production by end-2026E, while it expects to generate external revenue from the products starting from 2Q27E and its production capacity may reach several thousand units/month for humanoid Iron next year.

Fig. 1: XPENG - 2Q26 results review

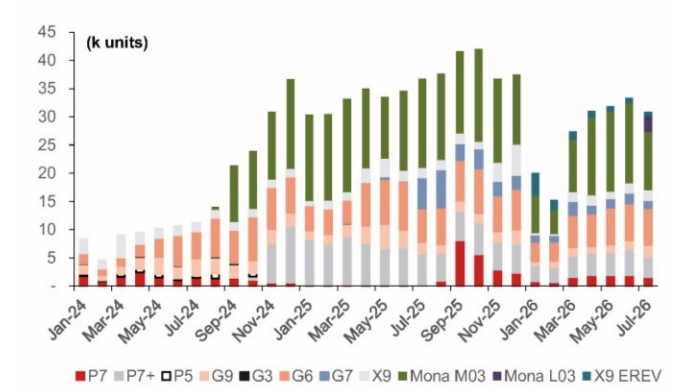
(CNY mn)		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	% chg		3Q26	
		A	A	A	A	A	A	y-y	q-q	guidance	
Total revenue		15,811	18,274	20,381	22,254	13,034	19,744	8%	51%	21,700	23,400
	% y-y	141%	125%	102%	38%	-18%	8%			6%	15%
Vehicle sales		14,369	16,884	18,054	19,072	10,999	17,046	1%	55%		
	% y-y	159%	148%	105%	30%	-23%	1%				
Service and others		1,441	1,391	2,327	3,182	2,034	2,697	94%	33%		
	% y-y	44%	8%	78%	122%	41%	94%				
COGS		(13,351)	(15,107)	(16,277)	(17,512)	(10,351)	(15,660)	4%	51%		
	% y-y	134%	117%	90%	27%	-22%	4%				
Vehicle COGS		(12,866)	(14,462)	(15,687)	(16,584)	(9,669)	(14,988)	4%	55%		
	% y-y	145%	127%	95%	26%	-25%	4%				
Service and others COGS		(485)	(645)	(590)	(928)	(682)	(673)	4%	-1%		
	% y-y	5%	9%	13%	60%	41%	4%				
Gross profit		2,460	3,167	4,104	4,742	2,683	4,083	29%	52%		
	% y-y	191%	179%	166%	104%	9%	29%				
Vehicle GP		1,503	2,422	2,367	2,488	1,330	2,059	-15%	55%		
	% y-y	397%	457%	213%	69%	-12%	-15%				
Service and others GP		957	745	1,737	2,253	1,353	2,025	172%	50%		
	% y-y	77%	6%	121%	164%	41%	172%				
OPEX		(3,927)	(4,373)	(4,922)	(5,667)	(4,790)	(5,411)	24%	13%		
SG&A		(1,946)	(2,167)	(2,493)	(2,874)	(1,883)	(2,496)	15%	33%		
R&D expense		(1,981)	(2,206)	(2,429)	(2,792)	(2,907)	(2,914)	32%	0%		
Operating profit		(1,467)	(1,206)	(818)	(925)	(2,108)	(1,327)	10%	-37%		
	% y-y	-23%	-37%	-53%	-53%	44%	10%				
Other income / (loss), net		544	237	140	840	182	137				
Interest income		291	308	301	263	257	217				
Interest expense		(129)	(75)	(99)	(76)	(165)	(124)				
Exchange gain (loss)		130	143	26	(13)	(149)	(125)				
Fair value gain on derivative asset/liabilities		-	-	-	-	(0)	37				
Pretax income		(649)	(531)	(394)	417	(1,763)	(1,267)	139%	-28%		
	% y-y	-52%	-61%	-78%	-131%	172%	139%				
Taxes		(8)	9	7	(22)	(9)	(74)				
Net income		(664)	(478)	(381)	383	(1,784)	(1,337)	180%	-25%		
	% y-y	-51%	-63%	-79%	-129%	169%	180%				
Ratio Analysis											
GPM		15.6%	17.3%	20.1%	21.3%	20.6%	20.7%	3.4pp	0.1pp		
Vehicle GPM		10.5%	14.3%	13.1%	13.0%	12.1%	12.1%	-2.3pp	0.0pp		
Service and others GPM		66.4%	53.6%	74.6%	70.8%	66.5%	75.1%	21.5pp	8.6pp		
OPEX		-24.8%	-23.9%	-24.1%	-25.5%	-36.8%	-27.4%	-3.5pp	9.3pp		
OPM		-9.3%	-6.6%	-4.0%	-4.2%	-16.2%	-6.7%	-0.1pp	9.4pp		
NPM		-4.2%	-2.6%	-1.9%	1.7%	-13.7%	-6.8%	-4.2pp	6.9pp		

Source: Company data, Nomura research

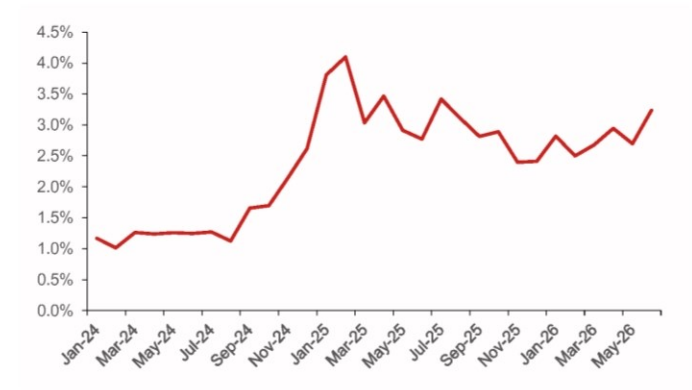
Fig. 2: XPENG - quarterly shipments trend

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	% chg		3Q26	
		A	A	A	A	A	A	y-y	q-q	guidance	
Total vehicle delivery		94,008	103,181	116,007	116,249	62,682	103,295	0%	65%	115,000	121,000
	% y-y	331%	242%	149%	27%	-33%	0%			-1%	4%
P series		24,605	21,139	24,740	26,457	12,212	18,337	-13%	50%		
	% y-y	357%	230%	355%	29%	-50%	-13%				
G series		18,755	35,370	40,478	36,195	20,867	35,214	0%	69%		
	% y-y	119%	91%	54%	26%	11%	0%				
X series		3,518	7,451	5,151	9,897	9,171	7,688	3%	-16%		
	% y-y	-55%	41%	20%	134%	161%	3%				
Mona		47,130	39,221	45,638	43,700	20,432	42,056	7%	106%		
	% y-y			333%	15%	-57%	7%				

Source: Company data, CAAM, Nomura research

Fig. 3: XPENG - monthly shipments by model

Source: CAAM, Company data, Nomura research

Fig. 4: XPENG - EV market share trend in China

Source: Company data, CPCA, Nomura research

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
XPENG Inc.	XPEV US	USD 12.19	21-Aug-2026	Buy	N/A	A10

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XPENG Inc. (XPEV US)

USD 12.19 (21-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of USD23.00 is based on DCF valuation method. Our DCF valuation assumes a WACC of 9.9%, market risk premium of 10.9% and terminal growth rate of 1.5% while we discounted back cash flow to 2026 as a 12 months forward valuation. Our TP implies 1.6x 2026F P/S. The benchmark index for this stock is the NASDAQ Composite Index.

Risks that may impede the achievement of the target price Downside risks include: 1) weaker-than-expected growth for its new models to be launched within 2026; 2) further competition intensified in China auto market; 3) slower-than-expected development in robotaxi and humanoid robots.

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